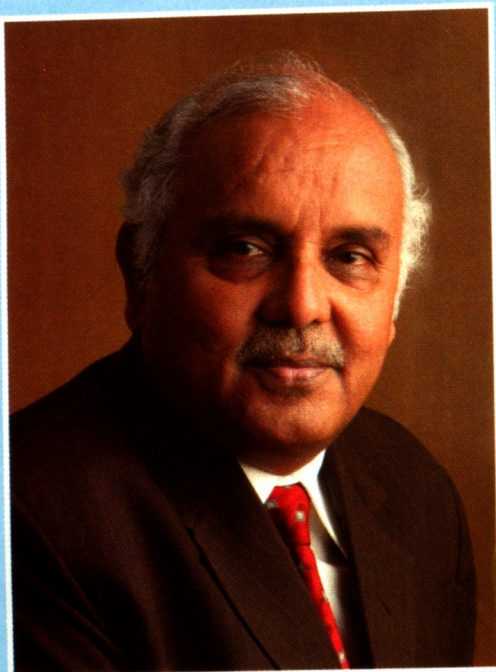


Chairman cum Managing Director's Speech

at the 49th Annual General Meeting held at Hyderabad on 31st August, 2007



B. Ramesh Kumar
Chairman-cum-Managing Director

The green revolution has ensured enough food to eat. The white revolution has made it possible for hygienic and quality milk and other dairy products to be widely available. Infrastructure is improving, paving the way for industrial development.

Industrial development is the growth engine of a nation. A broad-based infrastructure has been built up in the country in the sixty years since Independence. The Railway line wound its way to 63,221 route kms. The new roads laid stretched to about 33.8 lakh kms in 2004. Electricity generation has gone up to over 63,000 lakh kwh. Progress is a continuous improvement.

Public Sector Genre

Your Company, as part of India's public sector genre, is a change agent in this great mission. Coming into existence, as per the Industrial Policy Resolution of 1956, after a decade of our country gaining independence, your Company is entering its Golden Jubilee Year on 15 November 2007. Over the years, it has grown from a toddling organization, which depended on the Government for its subsistence till 1989-90 in the form of equity capital, to stand on its own and be a company to reckon with. It now generates wealth through the production of raw materials, contributes to the domestic steel industry and economy, enriches the national exchequer, creates and sustains employment, takes care of the

environment, plays its part in the uplift of the backward areas around its projects, and comes to the aid of the people in distress, like floods, earthquakes, etc.

The Company's Splendour

At the close of the financial year 2006-07, the profile of your Company has developed to reflect the splendour of a notable company with turnover of Rs.4,186 crore; profit before tax of Rs.3,498 crore; dividends totalling to 352%, ie, Rs.465 crore. It has set apart a sum of Rs.89 crore from its earnings of last financial year for discharging its Corporate Social Responsibility in the current year.

The Company and the Indian Economy

The importance of your Company in the Indian economy can be seen from its contribution:

- It has enriched the Indian economy. So far your Company has earned foreign exchange to the tune of Rs.12,481 crore. It has paid about Rs.1,382 crore so far in the form of dividends on the Government's investment of Rs.130.03 crore. It has consistently given direct employment to about 6,000 persons.
- It is the largest single Indian producer of iron ore, making a contribution of 15% to India's production for this year.
- It has taken the responsibility of supplying principal raw material, ie, iron ore, to the major steel producers in the country in terms of the Government policies.

Dear Shareholders

It is with great pleasure that I welcome you to this 49th Annual General Meeting of your Company. I am grateful to you for making it convenient to attend the meeting.

The Directors' Report and the Audited Statement of Accounts of the Company for the year 2006-07 and the notice to shareholders have been in your hands for some time; and, with your permission, I take them as read.

The Nation and the Company

Just a few days ago, we celebrated the sixty years of our Independence. In the six decades, India has transformed itself from a nascent independent but frail country to a strong and self-supporting nation. There has been an all-round improvement in various sectors.